

9-1 Nature of Fixed Assets

Fixed assets are long-term or relatively permanent assets such as equipment, machinery, buildings, and land. Other descriptive titles for fixed assets are *plant assets* or *property, plant, and equipment*. Fixed assets have the following characteristics:

Objective 1 - Define, classify, and account for the cost of fixed assets.

- They exist physically and, thus, are *tangible* assets.
- They are owned and used by the company in its normal operations.
- They are not offered for sale as part of normal operations.

Fixed assets are critical to the success of many businesses. For example, computers and Internet servers are critical fixed assets for a business that provides online retail or technology services.